Tech Mahindra Ltd

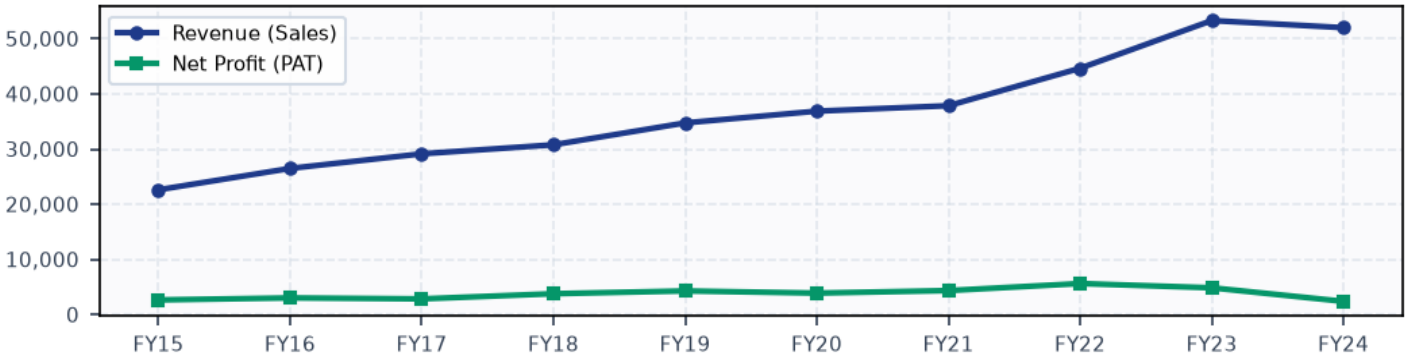
NSE: TECHM | **Sector:** Information Technology | **Peer Group:** IT Services

N100 INSTITUTIONAL TEARSHEET
Fiscal Reference: FY2024
Currency: INR (■ Crore)

RETURN ON EQUITY (ROE)	RETURN ON CAPITAL (ROCE)	DEBT TO EQUITY (D/E)
9.0%	**9.2%**	**0.10x**
▼ Below Sector Med (23.0%)	▼ Below Sector Med (27.1%)	▼ Higher Leverage vs Med 0.09x

REVENUE CAGR (3YR)	COMPOSITE SCORE	OPERATING MARGIN (OPM)
11.2%	**36.2**	**8.7%**
▼ Below Sector Med (13.6%)	▼ Below Sector Med (60.1)	▼ Below Sector Med (22.0%)

10-Year Revenue & Net Profit (PAT) Trajectory (₹ Crore)



▲ INVESTMENT MERITS & STRENGTHS (PROS)

✔ Conservative capital structure with Debt-to-Equity of 0.10x.
✔ Consistent top-line expansion with 3-year revenue CAGR of 11.2%.

▼ RISK FACTORS & CONCERNS (CONS)

■ Earnings contraction over 3 years (PAT CAGR of -18.0%).
■ Sub-50 cash flow quality score (2/100) indicating working capital drag.

Peer Comparison, Valuation Multiples & Cash Flow Intelligence

Tech Mahindra Ltd (TECHM) | Peer Group: IT Services

Company	ROE (%)	ROCE (%)	OPM (%)	D/E (x)	P/E (x)	3Y Rev (%)	Composite
HCLTECH	23.0%	27.1%	22.0%	0.08x	63.6x	13.4%	60.1
INFY	29.8%	32.9%	23.7%	0.09x	36.0x	15.2%	61.9
LTIM	22.9%	25.2%	18.0%	0.10x	64.5x	42.1%	59.2
TCS	50.9%	60.2%	26.7%	0.09x	78.7x	13.6%	66.0
★ TECHM	**9.0%**	**9.2%**	**8.7%**	**0.10x**	**57.4x**	**11.2%**	**36.2**

Valuation Multiple	Company	Sector Median	DCF Implied Value & Status
P/E Ratio	57.4x	63.6x	**Implied Value:** ■102,849 Cr (-96.6%)
P/B Ratio	7.4x	4.6x	**★ STATUS: OVERVALUED (PREMIUM)**
EV / EBITDA	7.8x	34.7x	Market Cap: ■3,021,096 Cr

Capital Allocation Pattern: Shareholder Returns | 5-Year Operating vs Investing vs Financing Cash Flows

